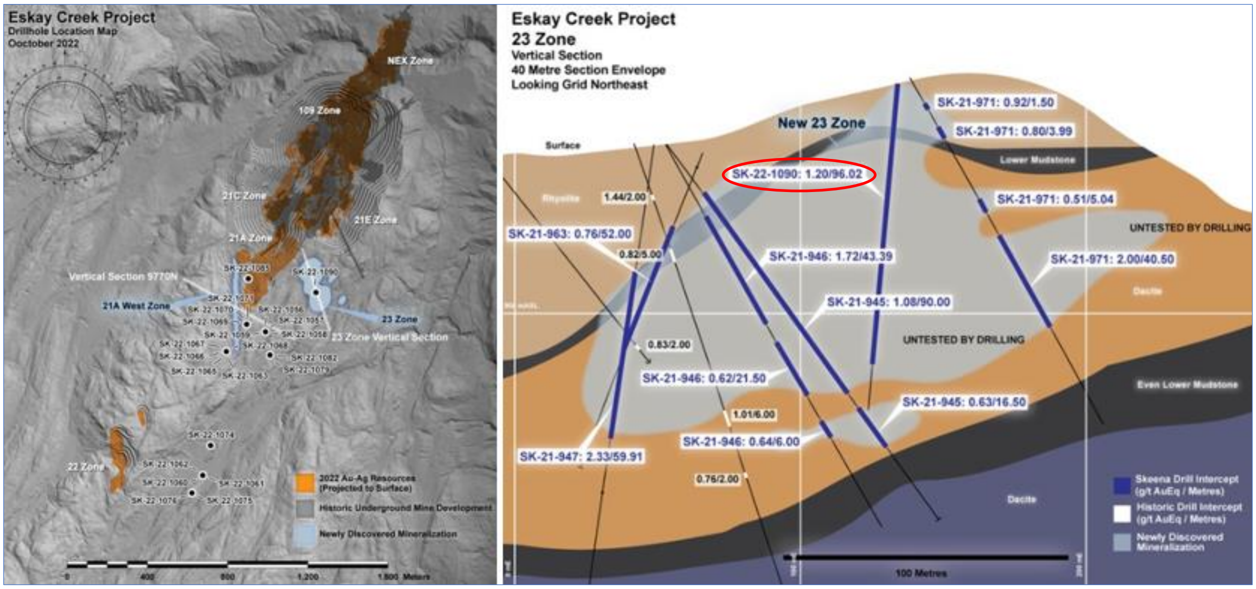
Sprott | Equity Research

25 October 2022

Ticker: SKE CN	**Cash:** C$69m	**Project**: Eskay Creek
Market cap: C$461m	**Price:** C$6.1sh	**Country:** Canada, BC
REC. (unc): BUY	*TARGET (unc): C$10.8/sh*	*RISK RATING (unc): HIGH*

*Today's bulk of **96m @ 1.2 g/t** AuEq from surface, is good infill follow on from last week's discovery intercepts (i.e. 50m @ 2.3 g/t AuEq within the newly discovered 21A West Zone) – this time in the 23 Zone. Adding to that, the intercept of 110m @ 1.2 g/t AuEq within the 21A West Zone right below the current pit, plus 26.5m @ 2.3 g/t AuEq and 21m @ 2.7 g/t AuEq from 20-57m down hole, are useful confirmations of the mineralisation continuity. These hits should improve the economics by reducing local strip ratio and likely adding more ounces to MRE and NPV. However, higher grades in existing reserves will dominate the NPV at this stake, hence permitting and funding progress are key in the short term. As such, **we maintain our BUY rating and C$10.8/sh PT based on 0.6xNAV$_{5\%-1700}$.** Looking ahead, step-out and infill drilling are ongoing with a 60km drill program providing abundance of news flow as the project continues to make headway this year. The lower mudstone is one target which could add ounce-level resources which would improve the economics. Ahead of mining, infill and bringing some / more reserve to proven from probable isn't much of a headline, but is key to de-risking the asset.*

Figure 1. Eskay Creek Plan view and 23 Zone vertical section showing today's drilling



Source: Skeena

Ounce additions and mineralization extension to surface with 96m @ 1.2 g/t AuEq from surface

Skeena's infill drilling returned **96m @ 1.2 g/t AuEq** in the 23 Zone from surface. Other highlights include **110m @ 1.2 g/t AuEq** from 159m at the 21A West Zone below the current pit shell, 26.5m @ 2.3 g/t AuEq from 18.5 m, 21m @ 2.7 g/t AuEq from 57.5 m and 30m @ 1 g/t AuEq from 127m.

Why we like Skeena Resources

- Large high-grade open pit with SCPe >500koz upside potential in coming 12-18M
- Shift in market dynamics allows concentrate sales for lower capex
- Optionality from high-grade Snip mine nearby to blend concentrate or add ounces
- Catalyst heavy with drilling, metallurgy, and DFS optimizations in coming 12M

Catalysts

- 2023: permitting updates
- 3Q23: SCPe build start

- CY26: SCPe first production
- 2H22: Exploration and AWF infill / expansion drilling

Research

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Ticker: SKE CN	**Price / mkt cap:**	C$6.1/sh, C$461m	**Project PNAV today:** 0.32x	**Asset:**	Eskay Creek / Snip
Author: B Salier/ E Magdzinski	**Rec / 0.6xNAV PT:**	BUY, C$10.8/sh	**1xNAV3Q22 FF FD:** C$19.16/sh	**Country:**	Canada: BC

Commodity price	CY18A	CY19A	CY20A	CY21A	CY22E
Gold price	1,700	1,700	1,700	1,700	1,700
SOTP *project* valuation*					
		C$m	O/ship	NAVx	C$/sh
Ungeared proj. @ build start (3Q22)		1,589	100%	1.00x	19.23
Pro-forma cash (2Q22 + rse)		69	100%	1.00x	0.84
Cash from options		58	100%	1.00x	0.71
Rsr ex rsv @US$50/oz		92	100%	1.00x	1.12
Snip (US$75/oz)		65	100%	1.00x	0.78
Asset NAV5% C$1700/oz		1,874			22.7
Shares diluted for options but not mine build			Market P/NAV5% 3Q22		0.27x

Share data			
Basic shares (m)	75.5	FD with build equity raise	108.8
FD with options (m)	82.6		

Asset value: 1xNPV project @ build start (C$m, ungeared)*					
Project NPV (C$m)*	$1500oz	$1600oz	$1700oz	$1800oz	$1900oz
10.0% discount	1,176	1,311	1,446	1,580	1,715
7.5% discount	1,341	1,492	1,642	1,793	1,943
5.0% discount	1,534	1,704	1,874	2,043	2,212
Ungeared project IRR:	41%	44%	48%	51%	54%
Project NPV (C$/sh)*	$1500oz	$1600oz	$1700oz	$1800oz	$1900oz
10.0% discount	14.2	15.9	17.5	19.1	20.7
7.5% discount	16.2	18.0	19.9	21.7	23.5
5.0% discount	18.6	20.6	22.7	24.7	26.8

Project level NPV, excl finance costs and central SG&A, discounted to build start

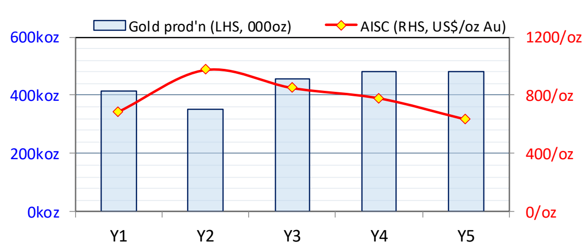
Group valuation over time^	Sep-22	Sep-23	Sep-24	Sep-25	Sep-26
Eskay Creek (C$m)	1,534	1,614	1,814	2,172	2,425
Net cash prior qtr (C$m)	36	214	117	(142)	(332)
G&A and finance costs (C$m)	(110)	(85)	(100)	(91)	(53)
Cash from options (C$m)	58	58	58	58	58
Snip	65	65	65	65	65
NAV FF FD (C$m)	1,583	1,866	1,955	2,062	2,163
1xNAV5%/sh FF FD (C$/sh)	19.16^	17.16*	17.97*	18.96*	19.89*

Geared company NAV diluted for mine build, net G&A and finance costs					
3Q22 1xNAV FF FD (C$/sh)^	$1500oz	$1600oz	$1700oz	$1800oz	$1900oz
10.0% discount	1,583	1,755	1,927	2,098	2,271
7.5% discount	1,677	1,858	2,038	2,219	2,400
5.0% discount	1,782	1,972	2,163	2,354	2,545
Geared project IRR:	38%	42%	45%	49%	52%
3Q22 1xNAV FF FD (C$/sh)^	$1500oz	$1600oz	$1700oz	$1800oz	$1900oz
10.0% discount	12.74	14.63	16.54	18.47	20.42
7.5% discount	14.08	16.09	18.13	20.19	22.26
5.0% discount	15.55	17.71	19.89	22.08	24.29

*^Project NPV incl grp SG&A & fin. cost, +net cash; *diluted for mine build equity*

Production	Y1	Y2	Y3	Y4	Y5
Gold production (000oz)	413	352	457	481	480
C1 cost (US$/oz)	609	895	720	654	587
AISC cost (US$/oz)	689	976	852	780	634

AISC = C1 + ug sustaining capex, Y1 = 12M to Mar 2027



Source: SCP estimates

Resource / Reserve	AuEq (koz)	AuEq (g/t)
Pittable resource	5329koz	3.20g/t
Underground resource	279koz	5.23g/t
Snip	646koz	13.60g/t

Funding: uses		Funding: sources	
Build Capex	C$592m	Pro-forma cash (2Q22 + rse)	C$89m
SCPe G&A to 1st Au + NSR buyback	C$28m	Mine debt @ 65% gearing	C$385m
SCPe pre-production expl'n	C$0m	Mine build equity at 0.4xNAV	C$207m
SCPe finance costs + wkg cap	C$32m	Total proceeds	C$680m
Total uses	C$651m	*Buffer*	*C$29m*

**Cash from options expiring pre first pour*

Ratio analysis	CY21A	CY22E	CY23E	CY24E	CY25E
Average shares out (m)	92.5	71.1	100.5	104.1	104.1
EPS (C$/sh)	-	-	-	-	-
CFPS (C$/sh)	-	-	-	-	-
EV (C$m)	525.1	389.3	419.5	630.9	937.7
FCF yield (%)	-	-	-	-	-
PER (x)	-	-	-	-	-
P/CF (x)	-	-	-	-	-
EV/EBITDA (x)	-	-	-	-	31.4x

Income statement	CY21A	CY22E	CY23E	CY24E	CY25E
Net revenue (C$m)	-	-	-	-	38.7
Gross profit (C$m)	**-**	**-**	**-**	**-**	**30.6**
D&A, attrib (C$m)	0.3	0.1	-	-	5.9
Admin (C$m)	22.9	14.8	12.3	9.2	-
Expensed exploration (C$m)	107.5	43.0	-	-	-
Finance cost (C$m)	(0.2)	(0.1)	-	-	26.3
Royalty (C$m)	-	-	-	-	0.7
Forex, other (C$m)	(12.8)	(7.9)	-	-	-
Taxes (C$m)	-	-	-	-	3.2
Net income (C$m)	**(117.6)**	**(49.9)**	**(12.3)**	**(9.2)**	**(5.6)**

Cash flow, attrib.	CY21A	CY22E	CY23E	CY24E	CY25E
EBIT (C$m)	(117.8)	(50.0)	(12.3)	(9.2)	23.9
Add back D&A (C$m)	0.3	0.1	-	-	5.9
Less tax + net interest (C$m)	(0.2)	(0.1)	-	-	29.5
Net change in wkg cap (C$m)	(10.3)	4.6	-	(1.1)	(10.9)
Add back other non-cash (C$m)	1.4	(3.1)	-	-	-
Cash flow ops (C$m)	**(126.1)**	**(48.2)**	**(12.3)**	**(10.3)**	**(10.6)**
PP&E - build + sust. (C$m)	(13.1)	4.8	(35.4)	(179.3)	(296.3)
PP&E - expl'n (C$m)	(0.5)	(17.5)	22.5	-	-
Cash flow inv. (C$m)	**(13.5)**	**(12.7)**	**(12.9)**	**(179.3)**	**(296.3)**
Share issue (C$m)	137.0	65.5	174.4	-	-
Proceeds from sale (C$m)	5.0	-	-	-	-
Debt draw (repay) (C$m)	(1.6)	(0.2)	-	-	437.8
Cash flow fin. (C$m)	**140.5**	**65.3**	**174.4**	**-**	**437.8**
Net change in cash (C$m)	0.8	4.5	149.2	(189.6)	131.0
EBITDA (C$m)	(117.5)	(49.9)	(12.3)	(9.2)	29.9

Balance sheet	CY21A	CY22E	CY23E	CY24E	CY25E
Cash (C$m)	40.3	45.6	194.8	5.2	136.2
Acc rec., inv, prepaid (C$m)	13.9	7.7	7.7	8.8	7.2
PP&E + other (C$m)	100.8	124.4	137.3	316.6	606.9
Total assets (C$m)	**155.0**	**177.8**	**339.9**	**330.7**	**750.3**
Debt (C$m)	1.3	1.2	1.2	1.2	439.0
Accounts payable (C$m)	12.5	13.2	13.2	13.2	0.6
Others (C$m)	17.6	9.6	9.6	9.6	9.6
Total liabilities (C$m)	31.4	24.0	24.0	24.0	449.2
Sh'hlds equity + wrnts (C$m)	362.0	449.8	624.2	624.2	624.2
Retained earn'gs + rsvs (C$m)	(238.4)	(296.0)	(308.3)	(317.5)	(323.1)
Liabilities + equity (C$m)	**155.0**	**177.8**	**339.9**	**330.7**	**750.3**

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TENDER: The analyst recommends tendering shares to a formal tender offering

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Summary of Recommendations as of October 2022	
BUY:	50
HOLD:	1
SELL:	0
UNDER REVIEW:	1
TENDER:	0
NOT RATED:	0
TOTAL	52

[1] As at the end of the month immediately preceding the date of issuance of the research report or the end of the second most recent month if the issue date is less than 10 calendar days after the end of the most recent month